

Instructions

- Answer all eight questions. Show sufficient working for method marks.
- A calculator may be used unless a question states otherwise.
- Write clearly in the spaces provided. Additional pages may be attached.

1

Define price elasticity of demand and explain why it matters to a firm setting prices.

[5 marks]

$$PED = \frac{\% \Delta Q_d}{\% \Delta P}$$

2

Explain two consequences of the policy studied, distinguishing short-run from long-run effects.

[6 marks]

3

To what extent was economic pressure the main driver of the change studied? Justify your judgement.

[8 marks]

4

Explain how opportunity cost applies to a government choosing between two spending programmes.

[5 marks]

5

Analyse why two historians reach different conclusions about the same event.

[6 marks]

6

Using a diagram, explain how a maximum price can create a shortage.

[6 marks]

7

Describe one research method used in psychology and evaluate one strength and one limitation.

[6 marks]

8

Explain the difference between correlation and causation, using a study you have covered.

[5 marks]
